



Life Insurance

Life Insurance: Context

- Is unique amongst Insurance policies in that **every policy will pay out** if in force
- Risk is taken by both parties
 - Insurer risk is pay-out within a short while of policy issuance
 - Policy-holder risk is outliving the policy or live a long time and pay premiums

1. Term

- Is for a **term** E.g., 20 years
- Original form of insurance
- Used to cover risk during working years

2. Traditional

- Provide **whole life benefit** regardless of when one dies
- Used as means of providing an inheritance or a source of cash flow

3. Non-traditional

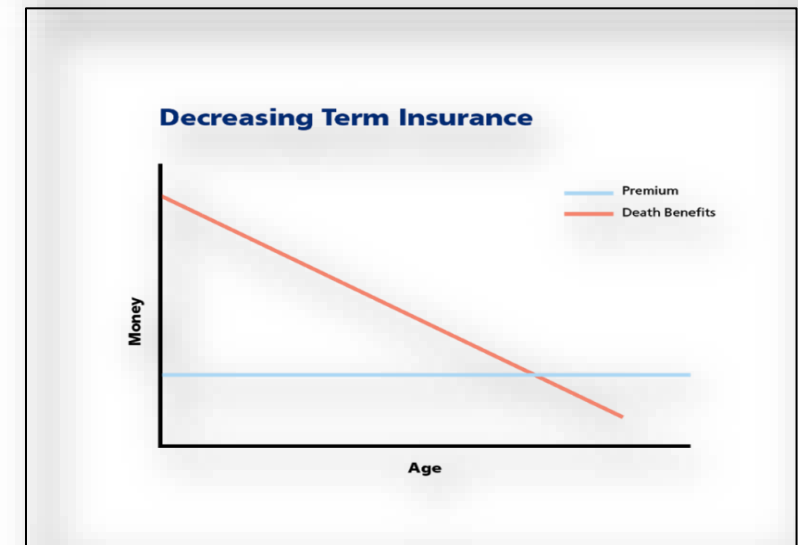
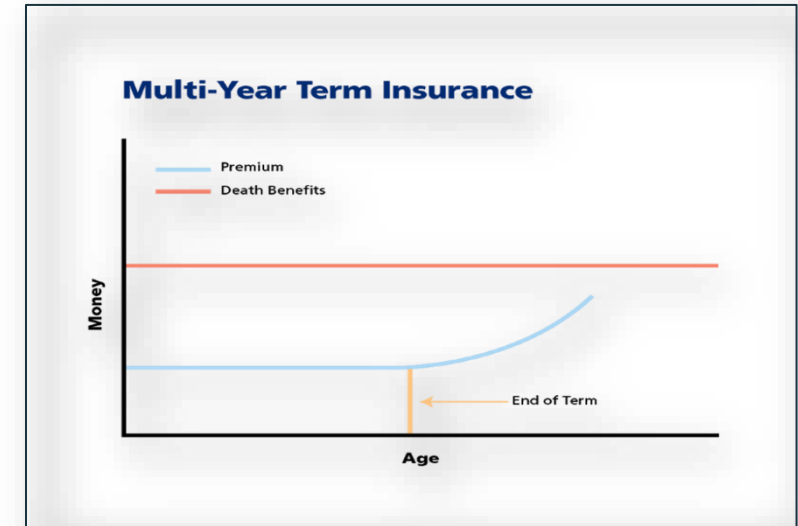
- Allow more **flexibility** and **unbundling**
- Allows tax-deferred investment opportunities (akin to mutual funds)

4. Joint-life

- Cover more than one insurer
- Used for **business buy-sell** or for **estate planning of couples**

1. Term Insurance

- **Fixed Term:** Used to cover a period (term) when **loss of life is a risk**
 - Typically, till one reaches 60 or 70 years
 - Post this age, premiums become exorbitant (ref image)
- Post this age, Term Insurance is rarely renewed, as
 - reached retirement age and thus no loss in income
 - or child has started working so parent's risk of support income has passed
- **Decreasing term:** Used to **cover outstanding debt** (e.g., home loans or similar)
 - Premiums are **fixed but less than** than Fixed Term
 - Has a decreasing **death benefit that roughly matches amortization** schedule of loan



2. Traditional Permanent policies

- Insurance Co. creates a **cash value** from premiums that can generate conservative returns
- Three types of traditional policies are available

Whole Life

- Protects for whole life
- Endow at a specific age, e.g. 100 or older
- Initial premiums are much higher and are converted to **cash value** after policy expenses are paid

Limited / Modified Life

- 1.Limited Life** are like Whole life, but with **fewer, larger** premiums
- 2.Modified Life** **combines term and whole** life.
 - Used to cover children (term) then switches to whole.

Endowment

- On completion, the Policy holder will receive **cash proceeds equal to death value**
- These are used to be popular as savings vehicles, but have **become less popular nowadays**

3. Non-Traditional Permanent policies

- Allow more **flexibility** than traditional policies as well as **unbundling**
- Provide access to tax-deferred investment opportunities (akin to mutual funds)

Universal Life

- **Flexible / adjustable** premiums, that can be skipped occasionally if cash value is sufficient
- **Unbundles** mortality charges, expense charges, interest rates

Variable Life

- Are fixed and bundled
- Allows the policy-holder to **select high-return investment vehicles** for cash value
- **At the cost of foregoing** the cash value guarantee

Variable Universal

- Flexible + unbundled
- Combines the flexible premium approach with the option to invest in high-return vehicles
- **Guarantees only mortality charges**

4. Joint Life

- Cover more than one insurer
- Can be structured as either whole life or universal life policies

First to die policy

- Covers 2 or more individuals
- Pays death benefit when the first person covered dies
- **Suitable for business buy-sell agreements**
- Cheaper than two single policies

Second to die policy

- Covers two people
- Pays death benefit on death of the second person (**survivorship policy**)
- Suitable for **Estate planning of a couple** on 2nd death
- Cheaper than two single policies

Key concepts of individual life insurance

- **Entire contract clause** states entire policy along with attached application constitutes the contract and any changes must be in writing / signed by the company (waiver clause)
- **Ownership rights** three entities (**policyholder, insured, beneficiary**) of which the policyholder has all policy rights. Owner can assign rights (**Absolute** = All, **Collateral** = Some) to another person, e.g., Collateral to a bank as security for a loan
- **Grace period** typically 30 or 31 days from due date of premium. If paid within this period, policy will not lapse. In case of death during this period, death benefit is adjusted.
- **Contestable period** The initial 1 or 2 years during which an insurer **can contest** death proceeds arising from misstatement or misrepresentation (i.e., disclosures). Thereafter insurer cannot deny a claim on these grounds, except in case of blatant fraud.
- **Misstatement of age** should the insurer misstate his or her age, the insurer will adjust the **death benefit** accordingly based on premium provided for the correct age.

Key concepts of individual life insurance

- **Reinstatement** allows policy to be reinstated on clearing of past dues and proof of insurability any time post lapse to even up to 7 years in some cases.
- **Nonforfeiture options** Cash value policies have this for situations where policyholder no longer wants to pay premiums. A nonforfeiture table provided by Insurer shows amounts available for each policy year that can be used to adjust policy
- **Policy loan** allows policy-holder to borrow against Cash Value. Unpaid loans or interest are deducted from proceeds on death, or if large enough, can cause policy to lapse with tax implications. Interest rates charged by the Insurer similar to any loan.
- **Suicide/ Aviation / War exclusions** special exclusions for **Suicide** (if within 2 years of policy start, only premiums with interest are returnable), **Aviation** accidents (historically excluded in all cases) and **War** (military and civilian death are excluded during war times).

Key concepts of individual life insurance

- **Beneficiary** the entity (**or entities**) designated to receive the proceeds. A policy can and should have **Primary** as well as **Contingent** beneficiaries (for instances when Primary is dead or unwilling to accept proceeds). Most cases a beneficiary can be **revoked** by policy owner, however an **Irrevocable** beneficiary is also possible (e.g. ex-spouse)
- **Beneficiary payments** can be made basis either the per capita or per stirpes rule and case should be taken to prevent undesirable distribution.
 - For e.g., if beneficiaries are 2 primary + 2 children and 1 primary dies before Insured
 - Case 1: **per capita rule** will divide equally. I.e. Surviving primary + children get 33% each
 - Case 2: **per stirpes rule** (by line of descent) will divide by class, i.e. 50% to surviving primary and remaining 50% split between the 2 children of the deceased
- **Conversion clause** allows the policyholder to convert the term insurance into a cash value. This is usually done to convert term into a more suitable option. Clauses relating to types of cash value as well as period or insurer age apply.

Key concepts of individual life insurance

- **Dividends** some policies pay dividends and are called **participating**. These arise when the Insurance company has a surplus profit. The Board declares a dividend, which can be availed by the policyholder in **5 ways** (cash, left to accumulate, offset against premium payments, purchase paid-up additions or purchase 1 year term insurance)
- **Common disaster** states that should **insured and sole primary** beneficiary die together, proceeds directly and automatically move to secondary beneficiary
- **Settlement options** cash is the most common way of setting a policy. Alternatives are covered under the Annuity chapter
- **Riders** are marketing aids used by the Insurer and work like endorsements. Examples include
 - Return of premium on survival, Inclusion of spouse or children, Waiver of premium on disability, Accidental death multiplier, Early benefit for terminal or critical illness (pre-death)

Income based method: Human Life Value (HLV)

Accounts for working life of client, but limited to fixed expenses, doesn't factor uncertainty

Step 1

- Estimate future average annual earnings
- E.g. 50,000

Step 2

- Subtract taxes, premiums and living expenses (= PMT)
- E.g. $50,000 - 20,000 = 30,000$

Step 3

- Estimate number of earning years till retirement (n)
- E.g. $n = 25$

Step 4

- Determine appropriate discount rate (I/Yr)
- E.g. 4%

Step 5

- Calculate PV of payment stream as an annuity due (PV_{AD})
- $PV_{AD} = 487,409$

Needs based method (L.I.F.E.)

Personalized need-based approach – more thought but takes longer to compute

Liability

- Determine if Life insurance is needed to pay off debt
- E.g. Mortgage, Education loan, Car loan, Credit card balances

Income replacement

- Determine if insurance is a replacement for Income
- Income can be calculated via HLV method or Retention method

Final expenses

- Provide liquidity to cover cost of last rites, bequests, emergency expenses on death etc

Education funding

- Like income replacement, estimate future cost of education
- Estimate future cost of college then discount to PV

Annuities

- The flip-side of Life insurance. Protect against risk of **living too long**
- Insurance companies offer Annuities, since it also is based on mortality factors

About annuities

- A contract from an Insurance Co.
- Buyer deposits money and Insurance Co. returns a stream of payments
- Goal is to spread invested capital and earned interest over the life of the annuitant (i.e. receiver)
- Actuaries and mortality factors are used to determine amount of each periodic payment (based on age and sometime gender etc)

Types of Annuities

- 1.Immediate: Payments within 1 month
- 2.Deferred: Payments at a future date
- 3.Fixed: Fixed and level payments
- 4.Variable: Depend on market returns
- 5.Indexed: Usually fixed + variable (market index)

Ways of measuring index for Indexed Annuities

- Participation rate: Sets the % that is linked to the stock market.
 - E.g. **90% participation rate** means that if the stock market increased by 10% in a **index interval** (e.g. 1, 5, 7 or even 10 years) then the **annuity account value would increase by 9%** in that interval (i.e. $90\% \times 10\%$)
- **Change in the market** is measured in a number of ways
 - Percentage change: Difference in end and beginning of Index Interval. Ignores all points between.
 - Ratchet method / Point to Point: Locks in the gain on an end of year basis
 - Spread method: Subtracts a fixed % (usually 2 or 3%) from the percentage change over an Index Interval. E.g. if % change over 3 years is 30%, then 28% is credited.
- **Downside protection**
 - If market falls in an index interval, the account remains unchanged from its start point. i.e. the annuity owner did not lose any money due to market loss

Key concepts of Annuities

- **Irrevocable** once payments begin, the annuity becomes irrevocable
- **Inflation adjusted** even a 4% inflation halves purchasing power in just 18 years. One should look for inflation-adjusted annuity schemes to cover this risk
- **Premium payments** are the terms governing how the money is deposited into the annuity. Can be single, fixed or flexible schedules.
- **Annuitize** the start of a steady flow of payments made to the beneficiary from the accumulated annuity contract. No further deposits can be made to annuity.
- **Payments** the series of payments made to the owner after the contract is executed (immediate) or at some point in the future (deferred)
- **Single/Joint/ Joint and last survivor annuity** payments made to a single person / payments made till death of first person / payments made till death of 2nd person

Key concepts of Annuities

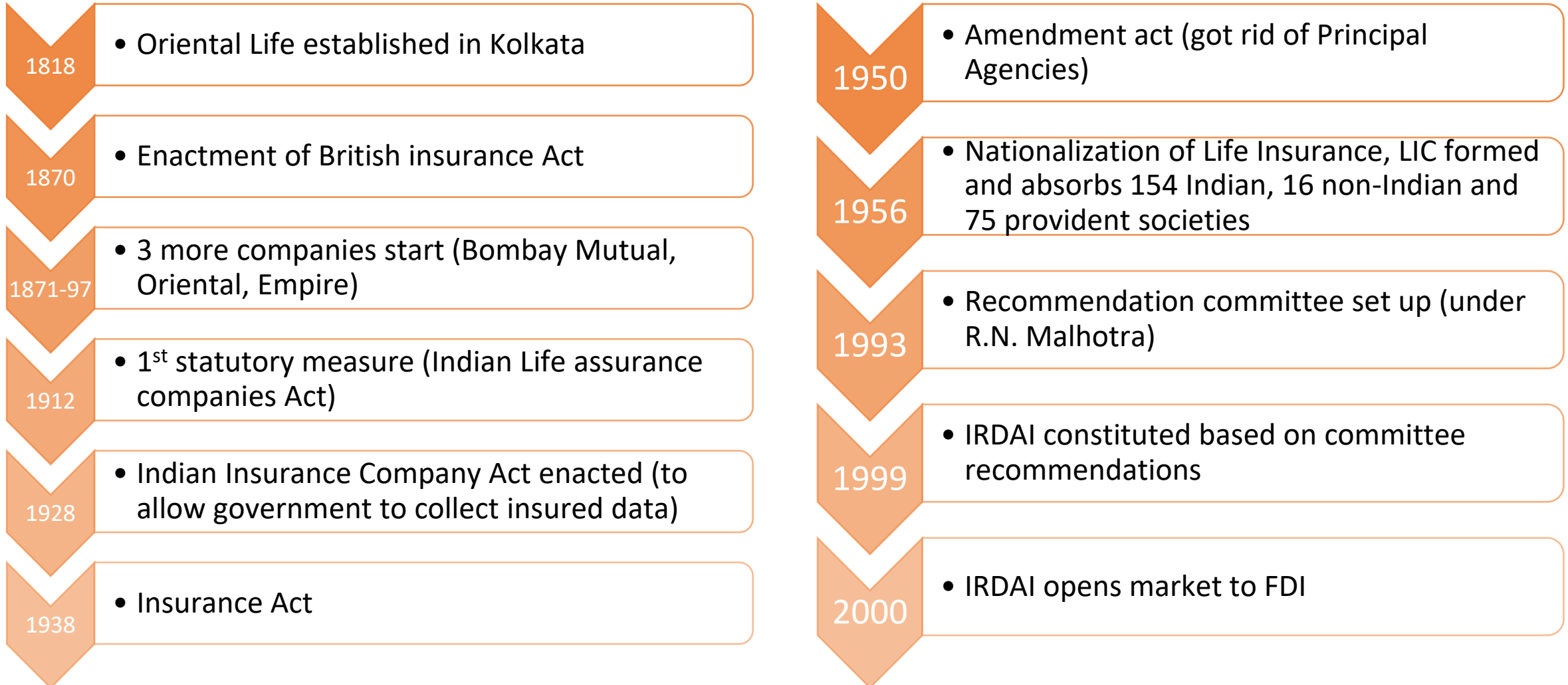
- **Settlement and Pay outs**

- **Period certain** annuity payments continue for a minimum number of years. If the annuitant precedes the period certain, remaining funds go to the beneficiary
- **Lump sum** most common form of settlement chosen by beneficiaries
- **Lifetime income** beneficiaries spread settlement over a period. However, on their death, payments stop irrespective of money remaining in account. There is no recourse
- **Single** payments made to a single person
- **Joint** made to two people till death of first person
- **Joint and last survivor annuity** payments till death of 2nd person. May remain level for both or reduced to 0.5 on death of primary annuitant unless survivor option is there



LIFE INSURANCE IN INDIA

Life insurance evolution in India



Income Sources for Insurance companies

➤ Insurance companies mostly generate revenue in three ways:

Income from
underwriting
(=Premiums)



Income from
investing premiums



Unpaid claims on
lapsed policies

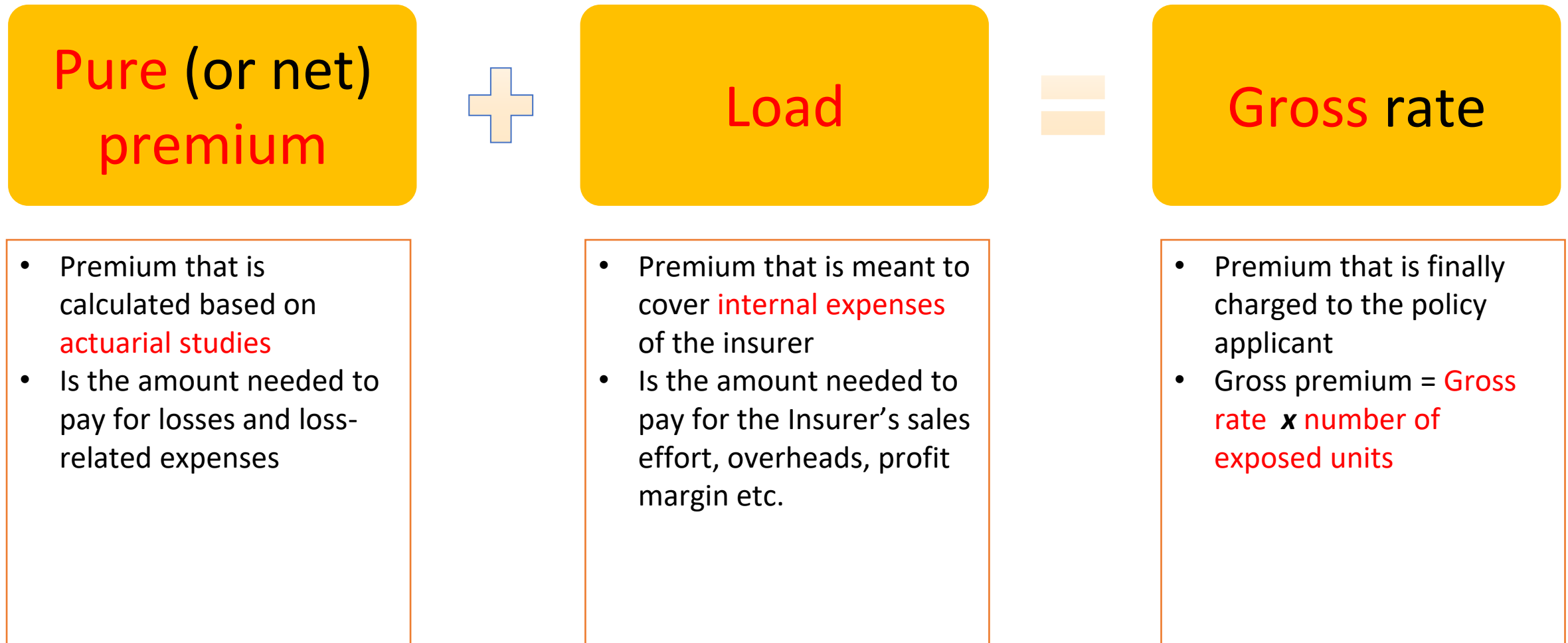
- Premiums are fixed based on risk of each policy
- Premiums are collected over time and aggregate
- Claims are received and settled out of premiums
- **Net revenue** (i.e. total premiums less total claims paid) = **Underwriting Income**

- Policies are usually long term (e.g., 10-15 years)
- Premiums thus invested in **long term instruments**
- There are Low-risk instruments (i.e., low risk low return instruments)
- **Interest** from these investments = **Investment income**

- Lapses occur when people either **stop paying** premiums (i.e. abandon) or the **policy expires with no claim**.
- **Total premium collected** against this policy = **Lapsed policy income**

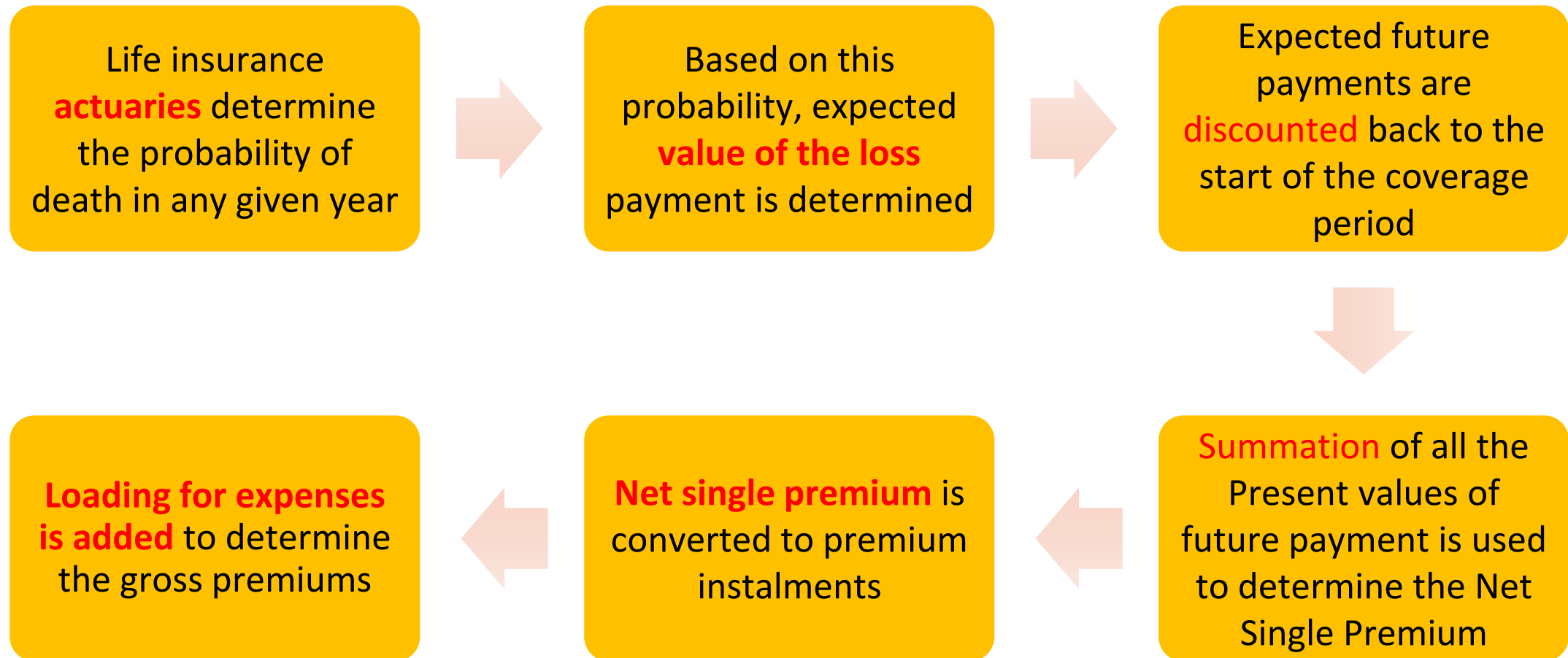
Premium and its components

➤ Premium has three associated terms



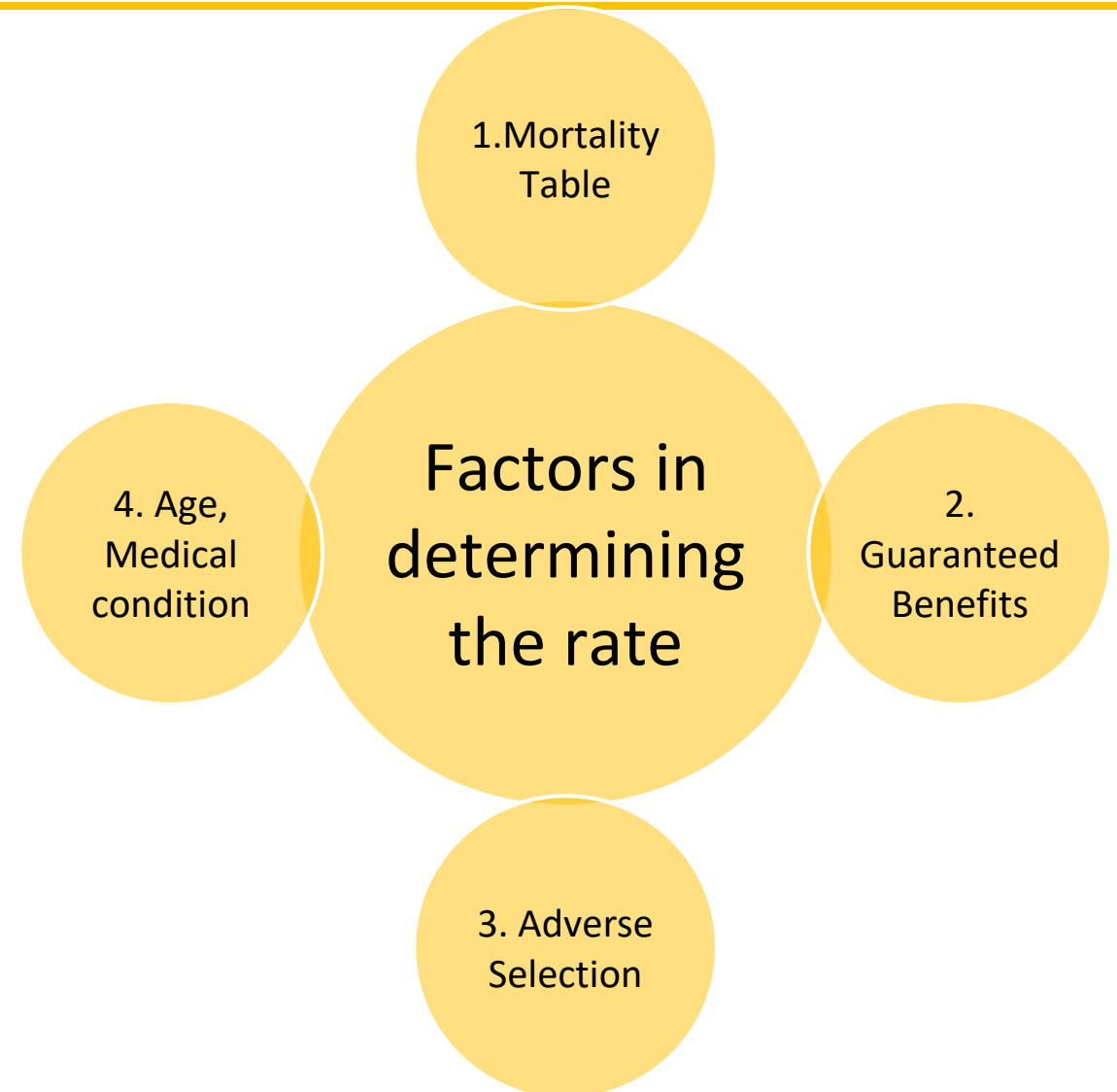
How Insurance Companies fix the gross premium rate

Rate fixing (also called insurance pricing) is the determination of what rates, or premiums, is to be charged. It is also the process of establishing rates for reinsurance or other risk transfer mechanisms.



Factors in fixation of premium & Rate making

- The process of premium fixation involves various considerations including selling goals, competition, legal restrictions and estimating future costs related to the transfer of risk. Such costs include the amount of claims and expenses of their settlement, operational and administrative expenses, and the cost of capital.
- Insurers face a problem in setting fair and adequate premiums. Since the premium pays for insurance coverage in the immediate future, actual losses and expenses are not known when the premium is collected.



Factor 1: Mortality

1. MORTALITY TABLES AND ACTUARIAL VALUATION

- A mortality table (life table or actuarial table) shows the rate of deaths likely to occur in a defined population during a selected time interval.
- It shows the probability of a person's death before his next birthday, based on his current age.
- Thus, a mortality table gives a probability of the number of people who are expected to die per 1,000 living in any given year.
- They typically cover from birth of a person through his age 100, in one-year increments.

Period Life Table, 2016

Exact age	Male			Female		
	Death probability ^a	Number of lives ^b	Life expectancy	Death probability ^a	Number of lives ^b	Life expectancy
0	0.006364	100,000	76.04	0.005331	100,000	80.99
1	0.000432	99,364	75.52	0.000359	99,467	80.43
2	0.000284	99,321	74.55	0.000247	99,431	79.46
3	0.000234	99,292	73.58	0.000169	99,407	78.48
4	0.000170	99,269	72.59	0.000155	99,390	77.49
5	0.000157	99,252	71.60	0.000135	99,375	76.50
6	0.000147	99,237	70.62	0.000120	99,361	75.51
7	0.000136	99,222	69.63	0.000109	99,349	74.52
8	0.000120	99,209	68.64	0.000100	99,338	73.53
9	0.000101	99,197	67.64	0.000094	99,328	72.54
10	0.000088	99,187	66.65	0.000093	99,319	71.54
11	0.000093	99,178	65.66	0.000098	99,310	70.55

Factor 2: Age & health

1. Age

- Younger people have lower premiums (less chance of dying young, likelihood of paying many premiums over their life)

2. Current Health Status

- Insurers determine the current health state of the individual

3. Medical History

- History of serious illnesses increase the premium

4. Death Benefit & Term

- Higher premium for larger sum assured, or shorter terms.

5. Gender

- Males have higher premium (in general) than women of same age

6. Smoking & Drinking

- Higher premiums for smoking or drinking

7. Occupation

- Dangerous occupation (e.g., shipping, mining, fishing) have higher premiums

Factor 3 and 4

3. RATES OF GUARANTEED BENEFITS

- Insurer often provide a Guaranteed Benefit plans for policy holders to attract risk adverse investors with Life insurance + guaranteed pay-outs
- In a traditional policy, the Bonus is variable, whereas a Guaranteed policy offers a **Fixed rate of return**.
- The plans that come with such options usually charge a **higher premium** than the other non-guaranteed plans.
- Therefore, the **returns after adjusting for the costs on account of the guarantee, are low in such plans.**
- The higher the return promised, more shall be the premium charged & vice versa

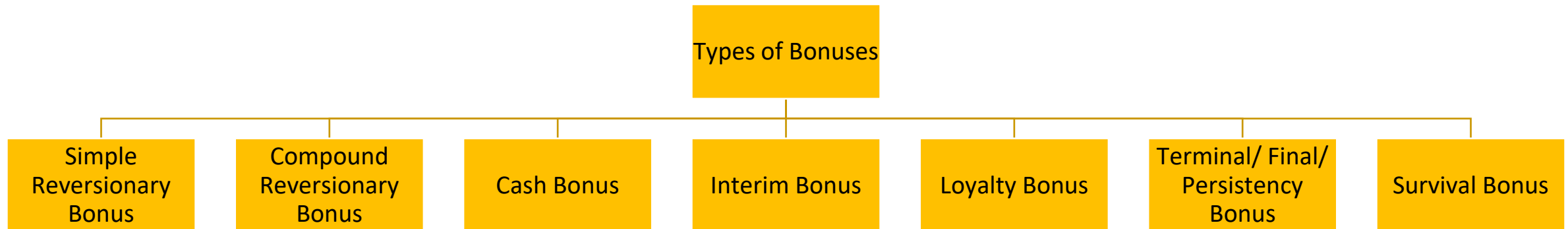
4. ADVERSE SELECTION

- '**Adverse selection**' refers to insurance firm's acceptance of applicants who have concealed information about their actual condition.
- In such situations, the insurer, with less information, is at a disadvantage to the applicant in determining the correct premium.
- As the risk is not factored at the time of sale of the policy, this adverse selection leads to faulty determination of premiums and **loss to the insurance company**.
- Truth is, the insurance company cannot possibly know every potential buyers health profile. Therefore, before the sale, the company enforces detailed questionnaires followed by a very detailed underwriting process.

Distribution of Benefits

- All the premiums collected from the policyholders get accumulated in the corpus of the insurance company. A large part of this is invested by the company in government secured debt instruments and a small part is invested in equities.
- Based on earnings from these investments, valuation of the assets and liabilities of the insurance company, and the claims paid, the insurance company distributes the profits to 'with-profits' policyholders. This is termed a bonus.

Types of Bonuses in an Insurance Policy



Loans Eligibility Against Life Insurance Policies

Insurance companies place conditions for disbursing the loan, some of which are:

1. Only available **against traditional life insurance policies**, as the **guaranteed policy return** is used as a **collateral**.

2. A **three-year waiting period** before approving a **loan**, to check if policyholder has been regular in paying premiums or not.

3. The loan amount is **80% to 90% of the surrender value** (traditional plans) or the **corpus value** at the time of application (ULIP)

4. The interest rates are **generally lower** than those charged on personal loans

5. The policy holder **must continue paying the premiums** even after availing the loan.

6. The **policy is assigned to the insurance company** as a security till the loan is repaid.

Group Term Insurance Scheme

- Provides coverage to a large group of people under a single policy.
- Owner of the policy is the employer / organization, and policy covers all the members / employees of the organization.
- It provides financial security to the dependent families in the absence of the employee. Although the employees may have their own individual insurance plans, yet a group term insurance policy is beneficial overall.
- Several group insurance schemes additionally offer covers for outstanding loans to borrowers, while others offer benefits with critical illness and disability. Such a policy does not entitle the employee to any proceeds (sum assured) upon surviving the term but provides the payout of lump sum proceeds in the event of demise.

Who Pays the Premium?

- Some companies absorb the entire cost of the policy as a benefit to its employees. Others collected by the employer, it can be a deduction from the salary where the contribution may either be full premium or partial premium.
- A person normally remains covered if he continues to work for a certain employer, unlike in an individual insurance policy where the insurer often has the right to reject the policyholder's policy renewal, depending on the risk profile.

Employees' Deposit Linked Insurance (EDLI) Scheme

EDLI Scheme

- **Employees can purchase this scheme** to cover all the current members / employees of the organization.
- In the case of death of an employee, it **provides a lumpsum to the nominated depended** (i.e., spouse, unmarried daughter or a male child up to 25 years of age). The exact amount depends on the last 12 months salary.
- Several EDLI schemes also offer cover for outstanding loans to employees and benefits for critical illness and disability.
- EDLI schemes do not provide any proceeds (sum assured) upon surviving the term.
- Policy covers employees only during their service. It cannot be renewed by an individual after exit.

Who Pays the Premium?

- Some companies absorb the entire cost of the policy as a benefit to its employees.
- Others collect a portion from the employee. This is usually deducted from the salary

Payout calculation

- $30 \times \text{Average of last 12 month's salary of the Employee (capped at Rs. 15,000 p.m.)} + \text{Bonus Amount (Rs. 2,50,000)}.$
- Therefore, the maximum payout under EDLI is $30 \times 15,000 + 250,000 = 700,000$
- Form 5 IF must be filled by the nominee after the death of the member and signed and certified by the employer.

Employees' Deposit Linked Insurance (EDLI) Scheme

SALIENT FEATURES OF THE SCHEME ARE:

1. all active members of Employee Provident Fund are automatically covered

2. There is no exclusion for any member

3. There is no minimum service required

4. age, education, gender etc. don't affect eligibility

6. Employer contributes 0.5% of monthly salary up to a maximum of Rs. 75 per month. No fee is deducted from the employee's salary.

7. Effective 15th February 2018, the payout is between Rs. 2,50,000 and Rs. 7,00,000.

8. The maximum average monthly salary is capped at Rs. 15,000.

9. Average monthly salary is calculated as Basic + Dearness Allowance.

10. Covers the person irrespective of them being in India or abroad.

11. Benefits are transferable with any job change to the new employer

12. Pay out to nominees, family members or the legal heirs.

Group Gratuity Scheme

Background

- Gratuity Act, 1972 mandates that employers with at least 10 employees must pay gratuity to employees who have **completed 5 years of employment**. The amount is linked to last **drawn salary x years of service**, up to a maximum cap.
 - It is paid at time of employee exit, retirement, or due to death or total disability whilst employed
- Organizations therefore need to create reserves to meet gratuity liability based on tenure of workforce

Group Gratuity Schemes

- Are **offered by insurance companies to organizations**, to meet this future liability
- Premiums received from the employer are invested in different equity and debt funds to provide market linked returns over a long term.
- The corpus, thus created, is used by the employer to make claim payments for gratuity when employees retire or leave.
- The premiums paid by the employer are considered as a business expense, allowing it to reduce taxable business income.
- At the end of each financial year most insurers review the employee data for changes in salaries, exits and new appointments. By this, they revalue the liability based on such changes

Role of Insurance

- Since likelihood of employees leaving or facing life-threatening situations deals with uncertainty, insurance can underwrite this like any other risk.

Unit Linked Insurance Plan (ULIP)

Background

- Provide protection, investment and income-tax benefits (subject to lock-in period)
- A portion of the premium is invested in market-linked funds, while the rest is used to provide life insurance coverage.

Features

- do not guarantee cash values. Instead, the value depends on the market price of the units held under the policy at the time of redemption/maturity.
- As financial needs of the investor change over time he can vary his insurance coverage and the investment mix. He may also top-up his investments, make withdrawals and switch funds
- Premiums paid for ULIPs are eligible for tax deduction under Section 80C of the Income Tax Act, 1961 upto a maximum of Rs. 1,50,000. However, such plans must be kept in force for a period of 5 years to claim deduction
- under section 10(10D) of the Income Tax Act, if the premium paid on the policy is up to **10% of the sum assured** during the entire term of the policy, the amount received on maturity is exempt from tax.

Critique

- the premium of ULIPs remains constant throughout the life of the policy, but the cost of insurance cover increases year by year as one gets older.
- Hence a larger share of the premium gets assigned to life cover, and residual amount for investment reduces over time

ULIP – Investment options & payouts

- ULIP investments are subject to the capital markets risk and any such risks are borne by the policyholder. Assets include

Equity

Debt

Hybrid

Money
Market

Switch
Option

Upon Policy Surrender:

If surrendered during lock-in period of 5 years, the insurer pays the surrender value after deducting all the applicable charges from the fund value.

If surrendered after lock-in period, but before the maturity date, the insurer pays the fund value (i.e., NAV (on the surrender date) * number of units held).

Upon Maturity:

The fund value as derived by multiplying the NAV (on the maturity date) by the number of units held is paid to the policyholder.

Upon death of Policyholder:

If during the policy term, the nominee gets the higher of the Sum Assured or the Fund Value as a death benefit. E.g., if fund value is lower than the sum-assured, then the sum assured will be paid.

Contingency Planning

➤ Key features:

The premiums payable can be a lump sum (i.e. single premium) or paid frequently (i.e. recurring). The amount payable will depend on the chosen sum assured and the insurer.

The policy tenure can be for 10 years and above whereby dependent children from just born to a maximum of age of 25, with certain exceptions, are covered.

The maturity amount of a policy can be chosen based on personal requirements.

Money-back child life insurance plans offer a segmented payout method, which can both be in a lump sum or in yearly instalments.

In ULIPs, the policyholder can withdraw partial amounts to cover financial difficulties.

➤ Waiver of premium:

Applies to a **child education plan**. If the policyholder (the parent) dies within a stipulated period, the insurance company waives off all future premiums until the maturity of the policy.



This rider enables the policy to continue without any breaks and passes the financial burden of the premium to the insurer. This ensures the maturity benefit set for a certain age remains intact as planned, in addition to the death benefit paid.

Policy Revival Schemes

Revival

Ordinary: Pay the arrears in one go

Special: Re-initiate the policy by calculating a new premium (as per policyholder age). Ignores arrears.

Revival of **non-linked policies within 5 years and unit linked policies within 3 years** of first unpaid

Instalment revival

Arrears under ordinary revival are converted to instalments. These are paid alongside the regular (old) premiums, e.g. quarterly, annuals

Loan revival

The insured person can take a policy loan to pay for arrears. The loan amount is adjusted in premiums.

Until the revival date, the amount of loan is calculated as if the policy is within a forced condition.

Reinstatement

Reinstatement is the process by which the insurer puts back into force a policy that has either been terminated because of non-payment of premiums or falls under one of the non-forfeiture provisions.

The insured will have to submit proof of continued insurability, and pay all arrears and revival charges

Policy Surrender & Policy Assignment

- **Surrender** = exit from policy before its maturity, usually after premiums have been paid for 3 continuous years
- **Surrender Value** = Policyholder received some part of the total accumulated bonus and premiums paid
- **Guaranteed surrender value:**
 - guarantees a **fixed percentage** of paid premiums depending on the number of years the policy was continued;
 - Value is the total premiums paid less any Extra Premium /Rider Premium * applicable Guarantee % less any survival benefits already paid.
- **Special surrender value:**
 - In this case, the surrender value includes sum assured, bonuses and policy term. No surrender value is available on Rider premiums, if any.

- **Assignment** - transfer of the right, title and interest of the policy from one person (assignor) to another (assignee).
- Governed by **Section 38** of the Insurance Laws (Amendment) Act, 2015
- Executed by endorsement of original policy, or through a separate deed of assignment. The first assignment can be made only by the policyholder.
- An assignment can neither be cancelled nor can the policy be reverted to the assignor unless the assignee reassigns the policy. The assignee is not entitled to increase the death benefit.

At maturity

Is paid in full (e.g., Endowment, Whole Life) if the policy has been continued properly. Payout is tax-free

In case of money-back plans that have periodic payouts, maturity payout is sum assured less periodic payment made.

On death

is payable if policy premiums are paid up-to-date or the death (or terminal/critical illness in some cases) occurs within the grace period.

Payment can be lump sum or converted to an annuity, favouring the nominee or legal heir (in absence of nominee)

Presumed dead

Sections 107 and 108 of the Indian Evidence Act, 1872 state that individuals unheard of for seven years, are presumed to be dead.

Insurers require a court decree to this effect (from the nominee) but can sometime approve claim based on strong circumstantial evidence.

Claims: Documents required on Death

- Letter from beneficiary intimating about the death
- Claim form by the nominee
- Certificate of burial or cremation
- Certificate from the doctor/physician
- Certificate from the hospital
- Employer's certificate
- in case of death by accident, Certified court copies of police report like First Information Report (FIR), Inquest Report, Post-Mortem Report, Final Report.
- Death certificate issued by municipal authorities etc.
- Others as required by the Insurer